Understanding Millennials and Gen Z: Exploring Brand Perceptions and Purchasing Behaviors in the Fast-Fashion Industry - A Case Study of Forever 21

Introduction

Research Objective:

Investigate how Millennials and Gen Z perceive brands and its impact on their decision-making processes, focusing on Forever 21.

Motivation



Millennials remain a market force with significant purchasing power.



They played a role in popularizing fashion and shaping industry norms.



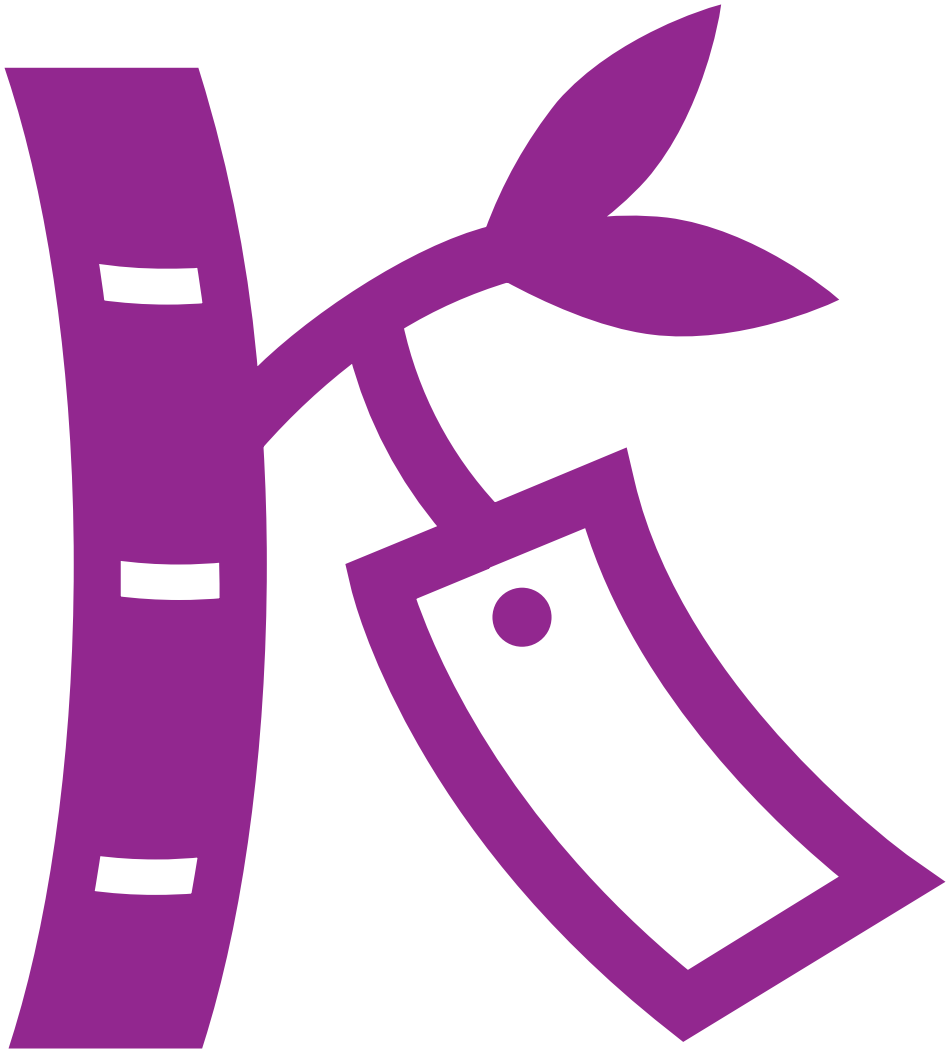
Brands must consider the rising influence of Gen Z.



Brands must adapt to evolving consumer preferences to remain competitive.

Firm & Industry Background

- Established in 1984 by Do Won Chang and Jin Sook Chang.
- Offers clothing, accessories, and beauty products.
- Symbolizes commitment to staying up-to-date with fashion trends.
- Targets Millennials and Gen Z consumers who appreciate its options.



Industry Background



Growth due to demand for fashionable apparel at reasonable prices.



Challenges in terms of sustainability and practices.



The presence of online shopping has revolutionized the sector.

Swot

Strengths: Trendy Fashion Offerings, Affordable Pricing, Multi-Omnichannel, Presence Global Expansion

Weaknesses: Brand Image Perception, Inventory Management Challenge, Competition from Online Retailers

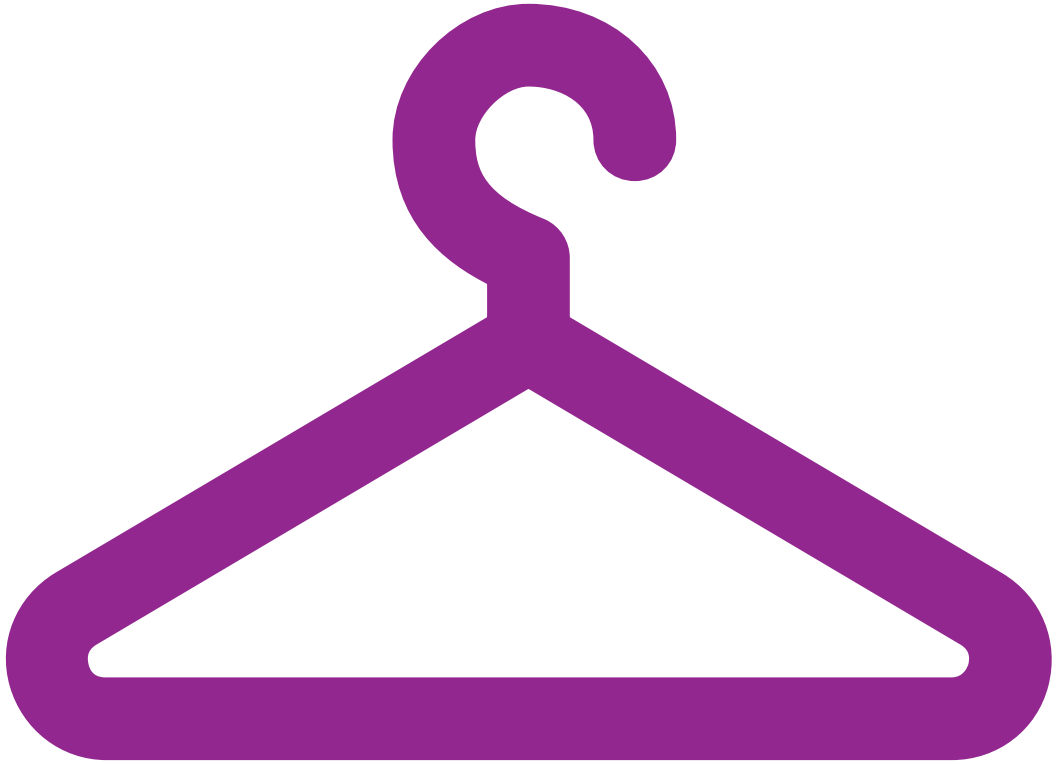
Opportunities: Digital Innovation, Expansion into New Markets, Incorporating environmentally friendly practices

Threats: Changing Consumer, Preferences Economic Uncertainties, Competitive Pressure



Problem Definition

Understanding how Millennials and Gen Z's perceptions of brand image influence their shopping behaviors in the fast fashion industry, particularly relating to Forever 21.



Research Questions



What do Millennials and Gen Z think about 21’s image, values, and overall identity compared to fast fashion brands?



How do outside influences impact Millennials and Gen Z’s perception of 21 and their likelihood of shopping there?



What actions can 21 take to improve its brand image and attract both Millennials and Gen Z customers leading to loyalty and competitiveness?



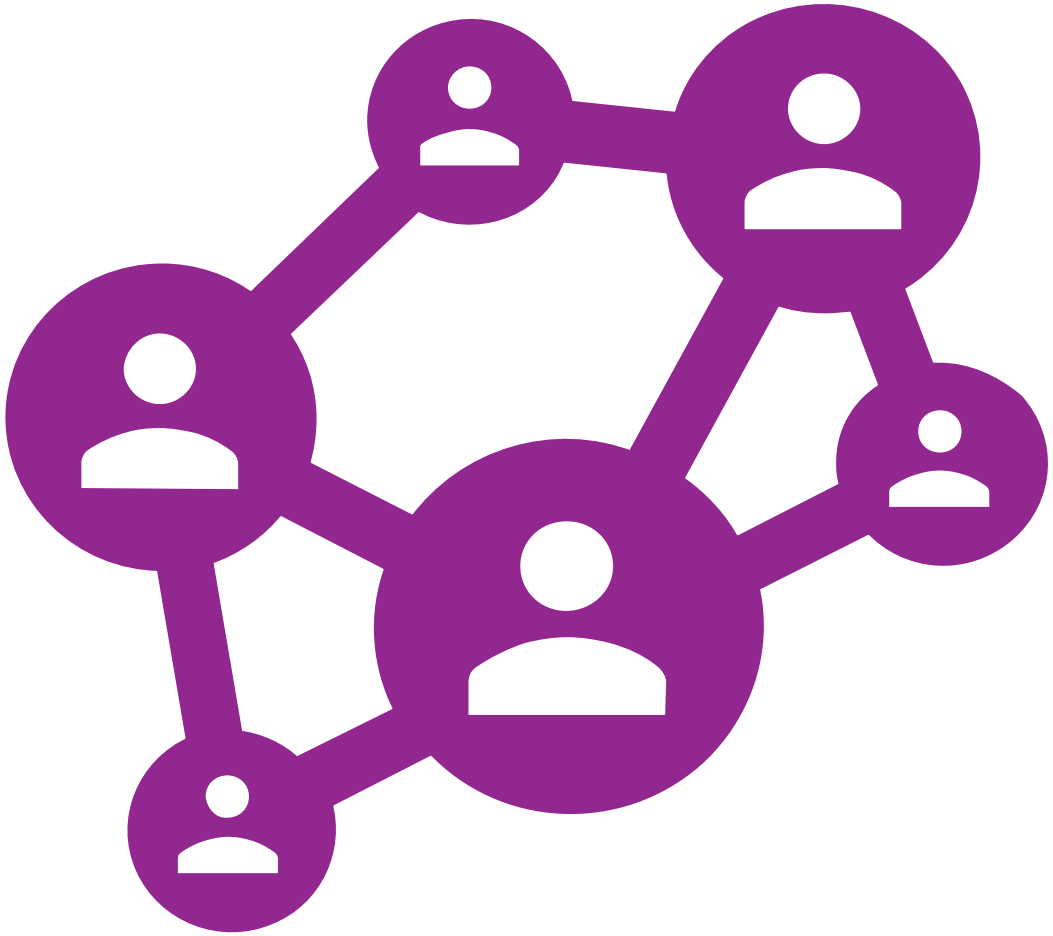
How do Millennials and Gen Z interact with 21 through channels like physical stores or online platforms and how does this interaction influence their opinions and purchase decisions?



Are there distinctions in how Millennials and Gen Z view brands and make purchases and what factors influence these differences?

Hypotheses

- Millennials and Gen Z customers who see Forever 21 as reflecting their values are more likely to have positive attitudes towards the brand.
- There are variations in how Millennials and Gen Z perceive brands and shop, with Millennials leaning towards in-store experiences while Gen Z prefers online shopping.
- Engaging positively with 21 on social media platforms can positively impact how Millennials and Gen Z view the brand and influence their purchasing decisions.



Theoretical Framework

- Brand Perception Theory
- Social Identity Theory
- Consumer Behavior Theory
- Social Media Influence Framework



Research Design & Approach

Research Design:

- Mixed methods approach

Quantitative Phase:

- Scale survey targeting Millennial and Gen Z consumers
- Data on brand perceptions, purchasing habits, social media engagement, and demographic details

Qualitative Phase:

- Interviews or focus group sessions
- Explore nuanced perspectives, attitudes, and experiences related to 21 and fast fashion

Tests of Means (T-tests)

T-statistic: -3.646161421509034

P-value: 0.0006346145825825373

Statistical Significance:

- Significant difference in purchase intentions between low and high trust groups (T-statistic: -3.646, P-value: 0.000634).
- Trust is crucial in shaping consumer behavior.

Strategic Recommendations:

- Enhance Communication.
- Leverage Positive Perceptions.
- Monitor and Adapt.

Influence of Brand Image, Trust, and Loyalty:

- Positive brand perceptions increase trust and encourage more purchases.
- Trust is key for brand loyalty, especially among millennials.

Role of Social Media, Celebrity Endorsements, and CSR:

- Social Media Presence: Showcase unique selling points.
- Celebrity Endorsements: Leverage the halo effect.
- CSR Initiatives: Boost brand confidence, especially among millennials.

Chi-square test

Contingency Table:

Q4		1	2
Q3			
	21	0	0
1	13	0	0
2	0	6	2
3	2	33	98

Chi-square Test results:

Chi-square Statistic	174.60059604138553
P-value	4.7523929308454494e-35
Degrees of Freedom	6

Expected Frequencies:

4.32	4.68	12.
2.67428571	2.89714286	7.42857143
1.64571429	1.78285714	4.57142857
27.36	29.64	76.

- **Shopping Preferences:**

Both Millennials and Gen Z prefer fast fashion brands over 21, as indicated by the Chi-square test ($p < 0.05$,.

- **Influence of External Factors:**

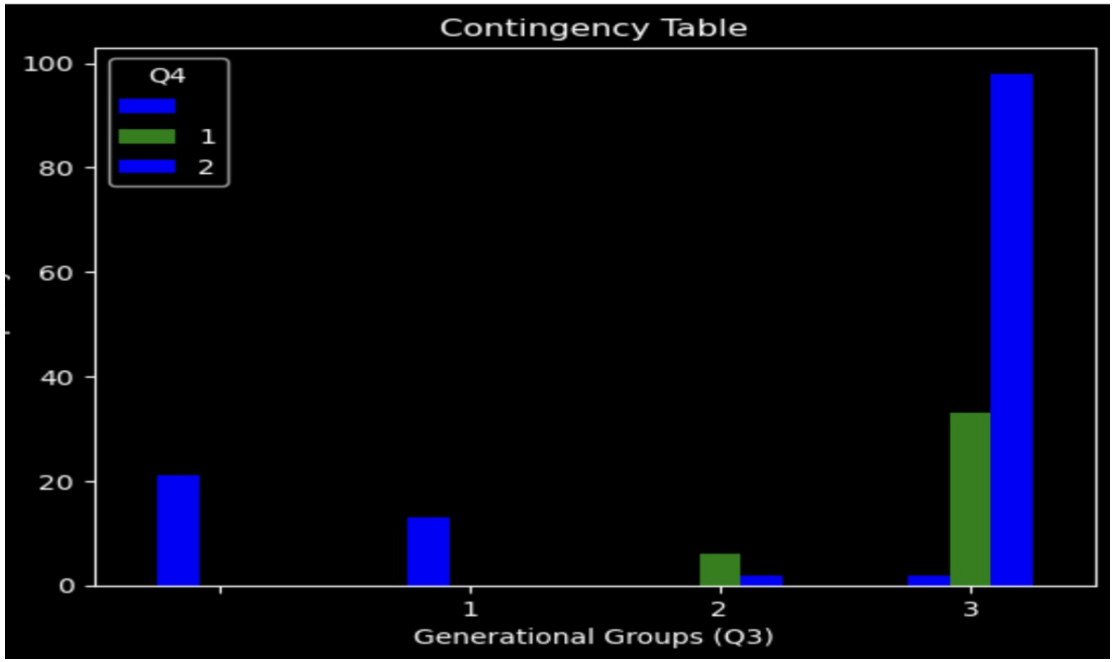
Gen Z is more influenced by external factors, such as media, celebrity endorsements, and recommendations from friends, compared to Millennials.

- **Brand Perception:**

Millennials seem to have a slightly less influenced opinion than Gen Z, indicating they might have more defined preferences.

- **Purchase Decision:**

Both Millennials and Gen Z are influenced by external factors, but Gen Z seems to be more influenced, suggesting marketing and advertising efforts may have a greater impact on Gen Z's perception of 21.



Logistics Regression Results			
Dependent Vairable	Q2	No. of Observations	138
Model	Logit	Df Residuals	135
Method	MLE	Df Model	2
Date		Pseudo R-squ	inf
Time		Log-Likelihood	-2.9265e-13
Converged	False	LL-Null	0.0000
Covariance Type	Nonroboust	LLR p-value	1.000
	coef	std err	z P>|z| [0.025 0.975]
Const	19.7636	1.9e+07	1.04e-06 1.000 -3.72e+07 3.72e+07
Q3	4.3579	7.12e+06	6.12e-07 1.000 -1.4e+07 1.4e+07
Q4	2.2789	1.08e+07	2.11e-07 1.000 -2.11e+07 2.11e+07
Complete Separation: The results show that there is incomplete separation or perfect prediction. In this case, the Maximum Likelihood Estimator does not exist, and the parameters are not identified.			

Logistic Regression

Model Fit:

- The logistic regression model failed to converge, indicating optimization issues.
- The pseudo-R-squared value of inf and a small log-likelihood suggest potential problems with the model's fit.

Coefficients:

- The coefficients (coef) and p-values (P>|z| = 1.00) show no statistical significance among the predictors.
- Complete separation makes the logistic regression coefficients practically meaningless.

Suggestions:

- Investigate data problems or outliers.
- Consider using regularization techniques like lasso or ridge to handle separation.

Regression analysis

ANOVA

Model	Sum of Squares	df	Mean Square	F	Sig.
Regression	3.748	1	3.748	4.877	0.030
Residual	61.472	80	0.768		
Total	65.220	81			

Coefficients

Model	Unstandardized B	Coefficients Std. Error	Standardized Coefficients Beta	t	Sig.
(Constant)	3.234	0.318		10.180	<.001
Price affordability	.009	.004	.240	2.208	.030

- **Regression Model Outcome**:
  - Price affordability significantly influences the brand image of Forever 21 among millennials (p = 0.030, < 0.05).
- **ANOVA Results**:
  - The regression model is significant (p = 0.030), explaining a significant proportion of the variance in brand image.
- **Regression Coefficients**:
  - A one-unit increase in price affordability is associated with a 0.009 increase in the rating of brand image among millennials (p = 0.030).
- **Analyses:**:
  - The association between price affordability and brand image is confirmed, indicating a significant impact of price affordability on brand image among millennials.

ANOVA

	sum_sq	df	F	PR(>F)
C(Q3)	619.219466	3.0	1079.835957	1.349212e-84
Residual	26.187023	137.0	NaN	NaN

Shopping Preferences:

- Both Millennials and Gen Z prefer fast fashion bra over 21, as indicated by the ANOVA test.

Influence of External Factors:

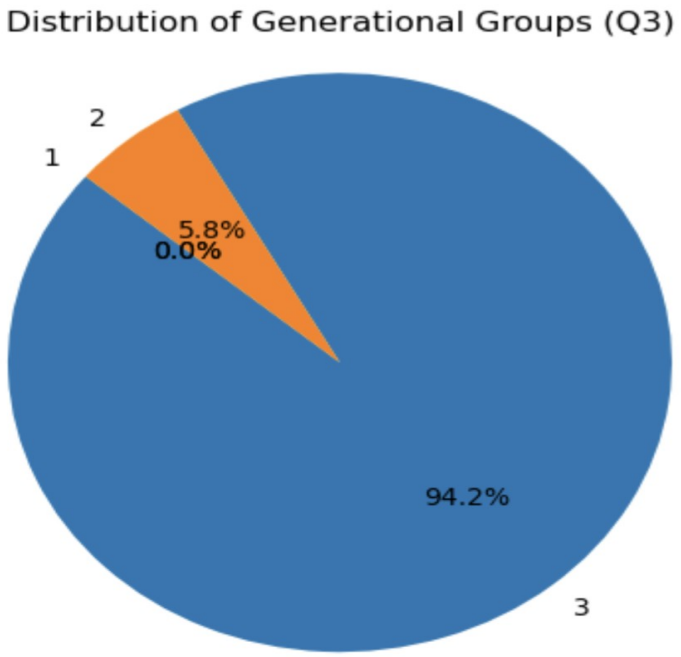
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Key Recommendations:

- Enhance Social Media Presence: Increase engagement through interactive content and influencer collaborations.
- Improve Sustainability Practices: Implement more sustainable and ethical practices to attract eco-conscious customers.
- Expand Online Presence: Invest in digital innovation to improve the online shopping experience.
- Collaborate with Influencers: Build brand loyalty by collaborating with influencers who share the brand's values.
- Leverage Data Analytics: Utilize data analytics to understand consumer preferences better and tailor marketing strategies.

Thank you